

Swing Trading Framework

A practical outline for beginner-to-intermediate traders with expert notes, illustrations, and execution rules.

Multi-timeframe process

Three core setups

Risk-first sizing

major breakout zone

prior range

Process-first manual for regime selection, setup quality, execution, and risk control

Inside: multi-timeframe workflow • A-grade checklist • breakout, backside short, and power play setups • risk formula • 30/60/90 development roadmap

One-sentence framework

Find the trend and key level on the daily chart, define the real stop on the hourly chart, wait for 5-minute confirmation, size from the stop, and manage the trade on the timeframe that created the thesis.

This guide is educational and process-oriented. It is not individualized investment advice, and every example is illustrative.

How to use this guide

Read this as a framework, not as a prediction script. The edge in swing trading usually comes from repeating clean decisions across many trades, not from calling every turn perfectly.

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1	TL;DR framework
2	What swing trading is
3	Market regime
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5	Simple chart stack
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8	Entries, exits, and management
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10	Repeatable process and journal
11	30 / 60 / 90-day development roadmap
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Best fit for

- Traders who can prepare outside live market hours
- People who prefer fewer, higher-quality decisions
- Anyone willing to define risk before entering

Poor fit for

- Traders who need constant action
- Anyone unwilling to accept overnight gap risk
- Anyone without a review routine or size discipline

Educational and risk note

This manual is for training and process design only.

Short selling is an advanced tactic and can create theoretically unlimited losses.

Margin accounts, pattern day trader rules, settlement mechanics, and broker house rules vary by broker and jurisdiction.

TL;DR framework

A clean swing trade is simple on paper even if it is hard in real time: identify the idea on the daily chart, define the stop on the hourly chart, wait for precise confirmation on the 5-minute chart, and refuse the trade if the reward is not clearly larger than the risk.

Six rules worth memorizing

1. Regime first: the same setup behaves differently in strong trends, choppy tape, and high-volatility reversals.
2. Trade from key levels, not from random mid-range movement.
3. If 3R is not realistic before entry, the trade is probably too crowded or too messy.
4. Size from the stop, not from conviction or excitement.
5. Manage on the same timeframe that created the thesis.
6. Journal screenshots, execution notes, and R-multiples; P/L alone will not teach you enough.

Beginner lens	Intermediate lens	Expert lens
Start with one long setup in liquid large-cap stocks or broad ETFs. Use tiny size or paper trading. Focus on clean levels, risk discipline, and fewer trades.	Add a second setup only after your first one has stable journal data. Learn partial profit taking, trailing stops, and regime tagging.	Adapt size and management by regime, sector leadership, correlation, catalyst quality, and whether the move is trend continuation or exhaustion.

Practical translation

Your job is not to trade often.

Your job is to recognize when structure, liquidity, confirmation, and risk/reward all line up at the same time.

What swing trading is

Swing trading sits between fast intraday trading and slower position trading. The objective is to capture multi-day movement inside a broader trend, a clean breakout, or an exhaustion-and-reversion pattern. Typical holds range from at least one day to several weeks, which means overnight and gap risk are part of the strategy.

- Edge sources: trend persistence, clean support/resistance, contraction followed by expansion, relative strength or weakness, and well-defined catalysts.
- Best conditions: names with enough liquidity, obvious levels, and participation from volume or news.
- Key tradeoff: you need less screen-watching than a day trader, but you must tolerate open P/L swings and the possibility of overnight gaps.

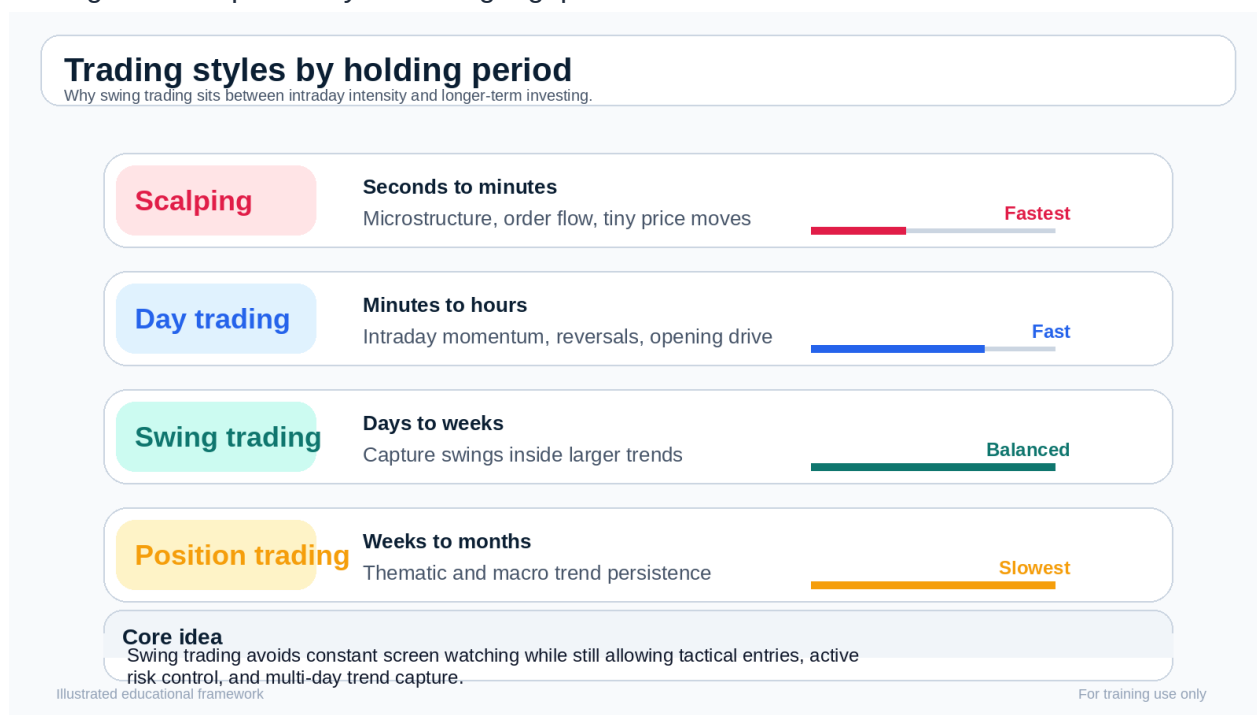


Figure 1. Swing trading sits between intraday intensity and longer-term position trading.

Beginner rule

Think of swing trading as fewer but better decisions — not as slower day trading.

If the market feels random and you want action anyway, standing aside is often the professional choice.

Market regime

A good setup in the wrong regime can behave like a bad setup. Before you focus on a single chart, step back and ask whether the broader tape is trending, choppy, volatile, or quiet. Swing traders usually do best when the market is offering both direction and participation.

- Trend strength: are the index and sector making orderly higher highs / higher lows or lower highs / lower lows?
- Volatility / range expansion: is price moving enough to create meaningful reward, or is it just noisy?
- Sector leadership: are the strongest ideas grouped in one or two themes, or is leadership rotating too quickly to trust?
- Catalyst environment: are earnings, macro releases, or company-specific events creating follow-through or just temporary chaos?

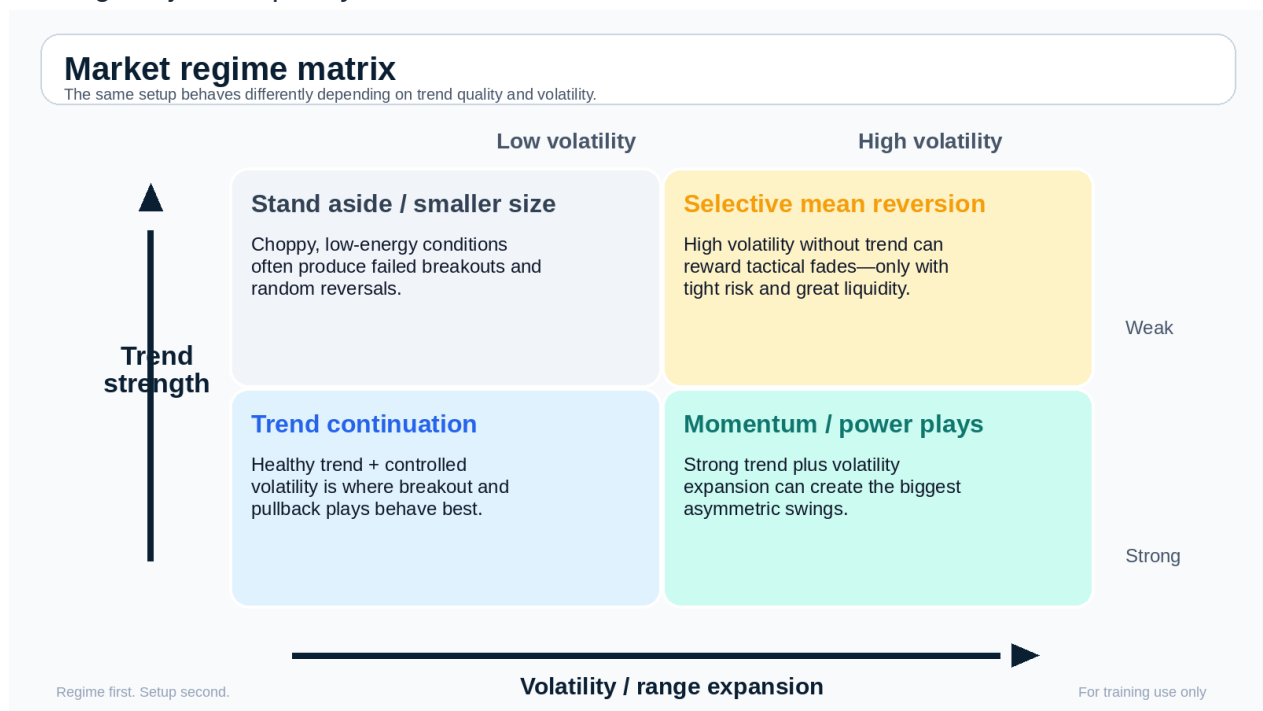


Figure 2. The same setup behaves differently depending on trend quality and volatility.

Premarket questions

Which sectors are leading or lagging today?

Is broad-market volatility expanding or compressing?

Are I seeing clean continuation candidates, selective mean reversion, or mostly chop?

If the answer is chop, should my best decision be smaller size or no trade?

The multi-timeframe workflow

Strong swing trades usually begin with a higher-timeframe idea and end with a lower-timeframe entry. Each chart should answer a different question. The daily chart asks whether the idea is worth attention, the hourly chart asks where the trade is invalid, and the 5-minute chart asks whether price is confirming right now.

1. Daily chart: locate the major trend, the cleanest breakout or supply level, moving-average alignment, and the larger context.
2. Hourly chart: define pivots, supply shelves, demand zones, anchored VWAP from the signal day if relevant, and the real stop that proves the idea wrong.
3. 5-minute chart: wait for the price to hold above or below the level, confirm with relative volume and structure, and execute without anticipation.

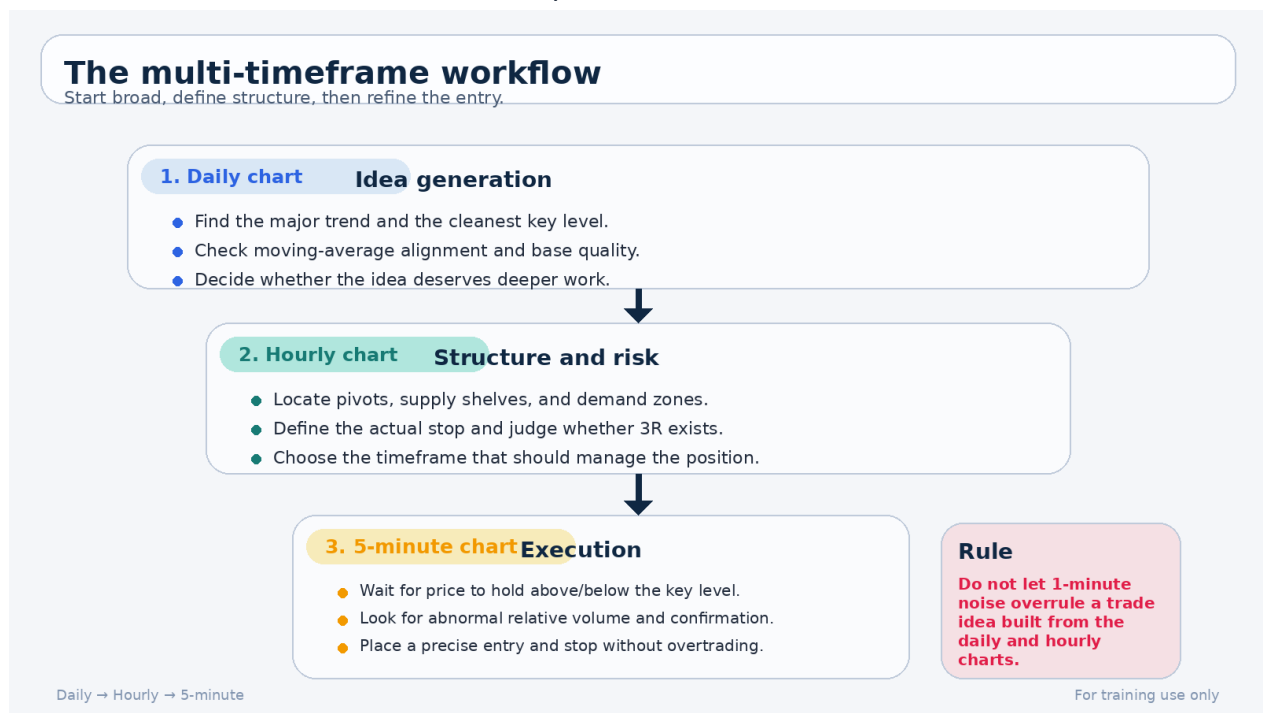


Figure 3. Daily for idea generation, hourly for structure and risk, 5-minute for execution.

Rule that protects many developing traders

If the trade thesis came from the daily and hourly charts, do not let random 1-minute noise knock you out unless it damages the higher-timeframe structure.

Simple chart stack

Many developing traders add indicators faster than they build decision quality. A better approach is to keep only the tools that clearly change your behavior. The simplest effective stack is usually enough: moving averages and ATR on the daily chart, structure and anchored VWAP on the hourly chart, and VWAP plus relative volume on the execution chart.

- Daily chart: 5 / 20 / 50 / 200-day simple moving averages, ATR(14), and obvious support/resistance.
- Hourly chart: pivots, prior day/week levels, anchored VWAP from the signal day, and whether structure is making higher highs / higher lows or lower highs / lower lows.
- 5-minute chart: intraday VWAP, opening drive structure, relative volume, and whether price is actually holding at the level.

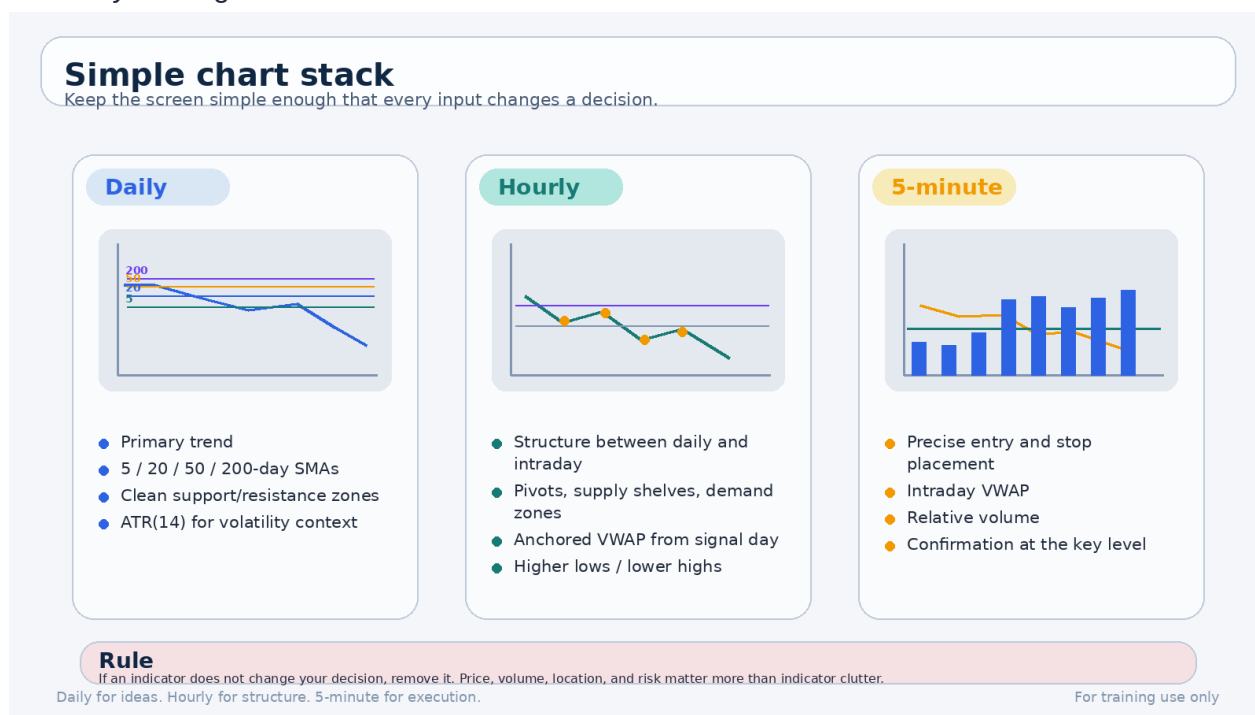


Figure 4. Keep the screen simple enough that every input changes a decision.

Useful nuance

VWAP resets every session. Anchored VWAP does not — it lets you track how price is behaving relative to the signal day or event day.

Indicators should support price-volume-location analysis, not replace it.

The A-grade setup checklist

A trade becomes easier to manage when the thesis is obvious before you click. Developing traders often lose money by trading C-grade ideas with A-grade size. A professional-quality setup usually earns its place by satisfying several filters at once.

- Clear trend or obvious supply/demand imbalance
- Entry located at a meaningful level, not in the middle of the range
- Participation from volume, a catalyst, or sector alignment
- Tight enough spread and enough liquidity to size and exit cleanly
- A realistic path to at least about three times the initial risk
- Defined invalidation before entry
- Timeframe alignment across daily, hourly, and execution chart

The A-grade swing setup checklist

The trade should be obvious before it becomes emotional.

Must-have filters

- **Trend / structure** Clear directional bias, clean base, or obvious supply zone.
- **Location** Entry comes at a meaningful level, not in random mid-range noise.
- **Catalyst / participation** News, sector sympathy, earnings, or visible volume expansion.
- **Liquidity** Tight enough spread and enough volume to size and exit cleanly.
- **Asymmetric reward** At least ~3R to realistic targets before entering.
- **Defined invalidation** A stop exists where the thesis is clearly wrong.
- **Timeframe alignment** Daily idea, hourly structure, 5-minute execution.

Quality score

Beginner

Take only the cleanest examples. If two or more filters are missing, skip.

Intermediate

Trade slightly more variety, but only if journal data supports the edge.

Expert

Can adapt size and management by regime, correlation, and catalyst quality.

Rule: if you cannot explain the thesis, risk, and target in one sentence, it is not ready.

Quality beats frequency.

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Figure 5. Skip trades that are missing multiple key filters.

Practical scorecard

If two or more critical filters are missing, the default answer should be 'pass.'

The goal is not to be in every move. The goal is to only take the moves you can explain, size, and review with discipline.

Setup 1: Consolidation breakout

The classic breakout works best when price compresses into a clear level and then expands with participation. The quality comes from the base as much as the breakout candle: a clean, repeat-tested resistance level, contracting volatility, and improving relative strength are what make the move worth attention.

- What to see before entry: a multi-day or multi-week base, an obvious trigger level, and either a catalyst or clear volume expansion.
- Entry idea: buy only after price proves it can hold above the level or after a controlled reclaim / retest.
- Stop logic: if price falls back into the range and cannot recover, the breakout thesis is damaged.
- First target: roughly 1 to 1.5 ATR, the next resistance zone, or a measured move from the base.
- Failure signs: weak volume, immediate reversal back into the range, or breakout into heavy overhead supply.

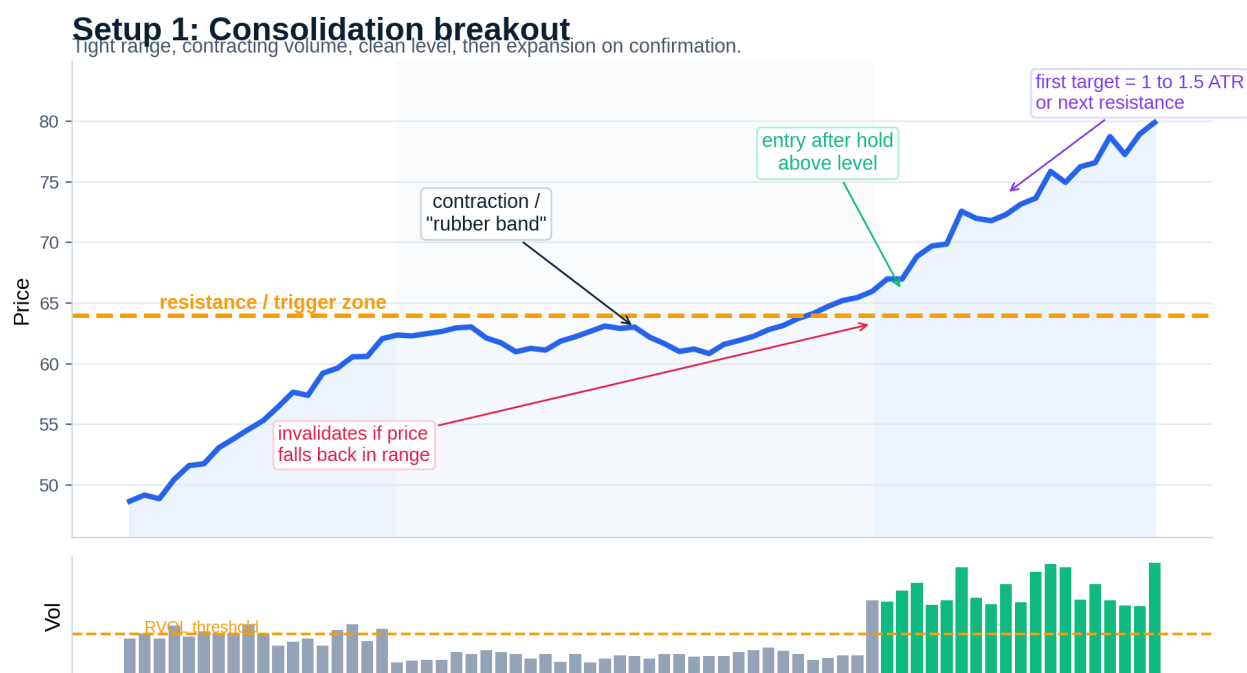


Figure 6. Breakouts work best when contraction leads to confirmed expansion.

Beginner lens	Intermediate lens	Expert lens
Trade only the cleanest daily bases in liquid large-cap names or broad ETFs. Do not chase the first spike through the level.	Learn to recognize the higher-probability retest entry and to partial into the first logical target before trailing the rest.	Adjust conviction by catalyst quality, sector leadership, relative volume, and whether anchored VWAP or higher-timeframe structure supports the move.

Setup 2: Mean reversion / backside short / dead-cat bounce

This is an advanced setup and should usually come after a trader has already built discipline on the long side. The idea is to find a stock that already had its euphoric run, is now on the backside of the move, and then bounces back into supply where trapped longs and fresh shorts can create a lower high.

- What to see before entry: a prior parabolic move or failed squeeze, clear overhead supply, and a bounce that looks weaker than the original run.
- Entry idea: short the pop only after intraday strength starts to fail and the lower high is confirming.
- Stop logic: above the day high or above the supply shelf that would invalidate the lower-high thesis.
- Targets: prior support, gap-fill areas, or a multi-day push back toward the midrange / low end of the failed move.
- Management: adds belong only after further weakness confirms; trail using lower highs, day highs, or anchored VWAP if it fits the plan.

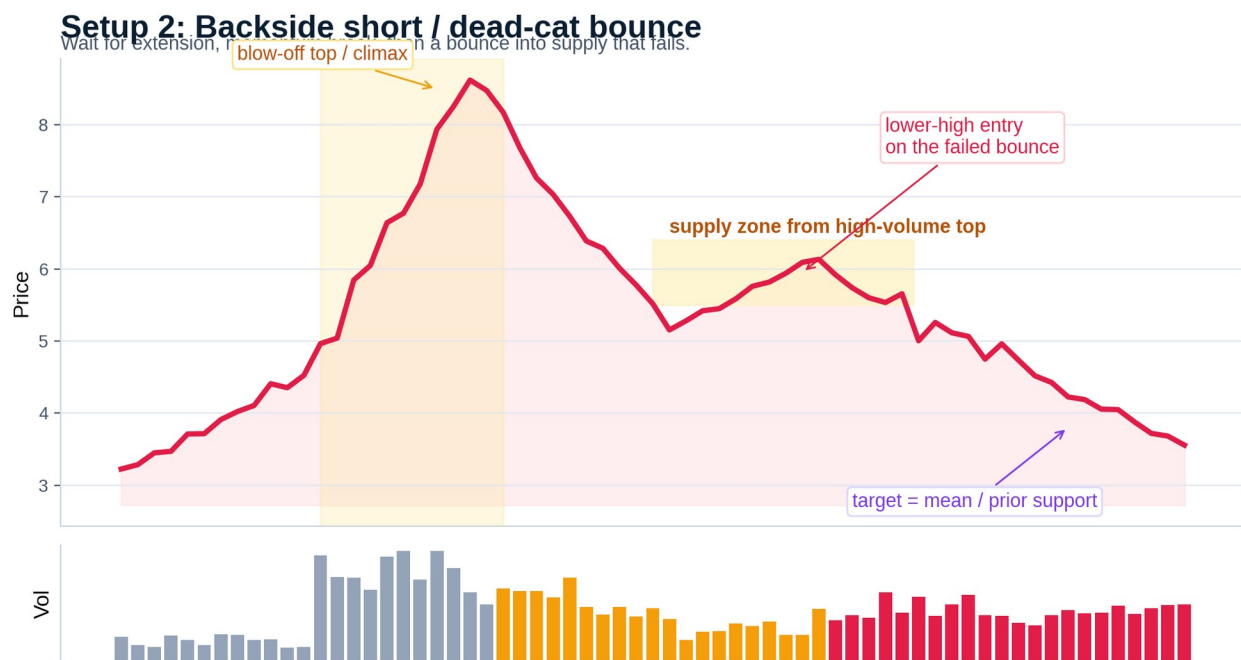


Figure 7. On the backside, a bounce into supply can offer a defined-risk short opportunity.

Beginner lens	Intermediate lens	Expert lens
Paper trade this or skip it. Do not make short selling your starting point if you have not yet mastered long-side risk control.	Learn to map supply zones, lower highs, and catalyst decay. Trade smaller than you think you need.	Use borrow availability, squeeze risk, crowding, sector weakness, and news durability to decide whether the bounce is truly shortable.

Setup 3: Power play continuation

A power play is a day-two or later continuation that follows a powerful day-one move. The best examples usually come from a major technical breakout, a genuinely important catalyst, or strong earnings/news participation that produces a close near the high of day one.

- What to see before entry: a powerful day-one directional move, strong close, heavy participation, and obvious support/resistance mapped from day one.
- Entry idea: on day two, look for an orderly dip into support or anchored VWAP from day one, followed by a sharp reversal or clear hold.
- Stop logic: below the day-two low, below the mapped support zone, or below the anchored VWAP if that is the chosen reference.
- Targets: continuation to the next resistance / measured move, with optional partials before trailing the remainder.
- Management: if the move keeps making higher highs and higher lows, the trade may deserve a longer hold than the original one-day target.

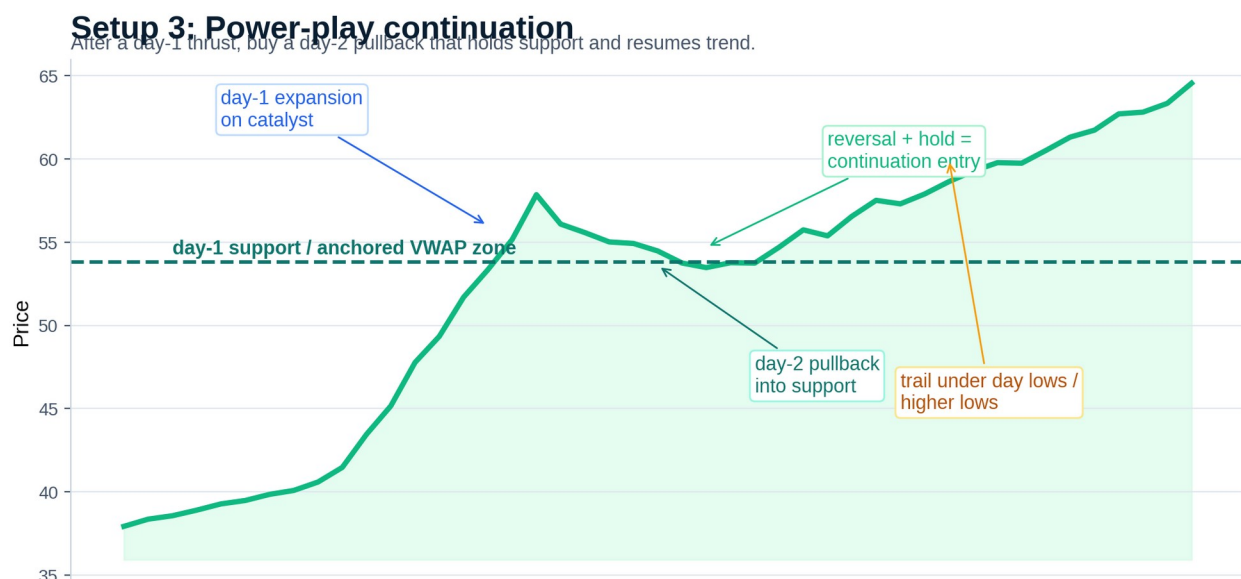


Figure 8. A strong day-one move can create a continuation entry on day two or later.

Beginner lens	Intermediate lens	Expert lens
Focus on liquid, well-followed names after earnings or major news. Avoid thin small caps until your process is stable.	Learn to separate healthy digestion from exhaustion. A quiet dip into support is usually better than a chaotic gap extension.	Adjust aggression by catalyst quality, float, sector heat, market regime, and whether the original move closed near the high or already showed exhaustion.

Entries, exits, and trade management

A clean setup can still turn into a poor trade if the entry is late, the stop is vague, or the management logic changes in the middle of the position. Before entering, define five things in writing: thesis, trigger, stop, first target, and size.

- Enter on confirmation, not anticipation. A level matters because price reacts there — not because you hope it will.
- Use the same timeframe to manage the position that you used to define the thesis. A daily idea should not be micromanaged like a scalp.
- Take partial profits at the first logical target if that helps you reduce emotional load and stay objective.
- Trail the remainder with higher lows, lower highs, anchored VWAP, or a simple moving average only if that rule was chosen before the trade.



Figure 9. A trailing stop should follow structure, not emotion.

Before entry	While in trade	Exit triggers
• Write entry, stop, and target • Check spread and liquidity • Confirm reward exceeds risk • Know whether an overnight hold is planned	• Take only deliberate adds • Reduce if the tape changes • Respect the original invalidation point • Do not widen stops after entry	• Break of thesis level • Failure to hold reclaimed support • Loss of higher-timeframe structure • Approaching binary event not in plan

Order-type reminder

Limit orders help at precise levels. Stop orders can automate invalidation. Market orders prioritize certainty of execution but can slip badly during gaps or fast tape.

Position sizing and account heat

Most new traders think first about how much they want to make. Professionals start with how much they are willing to lose if the trade is wrong. Position size should come from the stop distance and the amount of account risk you allow per idea.

- Core formula: position size = account risk ÷ (entry price – stop price).
- Beginner guideline: risk roughly 0.25%–0.50% of account equity per trade until your process is measurably stable.
- Developing guideline: 0.50%–0.75% can be reasonable once the journal supports the edge.
- Advanced guideline: up to 1.00% only when statistics, liquidity, and emotional control justify it.

Position sizing and account heat

Size from the stop, not from conviction.

Core formula
Position size = $\frac{\text{account risk \$}}{\text{entry price} - \text{stop price}}$
Example: \$20,000 account × 0.5% risk = \$100
Entry \$52.00, stop \$50.75 → \$1.25 risk/share → 80 shares

Suggested risk ladder

Beginner	0.25%–0.50% per trade
Developing	0.50%–0.75% per trade
Advanced	Up to 1.00% only when stats justify it

New traders usually need smaller risk than they think.

Portfolio heat rules

- Treat correlated positions as one thematic bet.
- Keep total open risk modest until the process is proven.
- Many new traders benefit from a daily stop near 2R and a weekly stop near 4R–6R.
- Cut size after process mistakes, not only after losing trades.
- Avoid full size into earnings unless event risk is part of the playbook.

Risk small enough that one loss feels boring.

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Figure 10. Size should come from the stop, not from conviction.

Portfolio heat rules

Treat correlated positions as one thematic bet.

Keep total open risk modest until the process is proven.

Cut size after process mistakes, not only after losing trades.

Avoid full size into earnings or other binary events unless event risk is explicitly part of the playbook.

Expectancy matters more than win rate

Expectancy = (win rate × average winner) – (loss rate × average loser).

A trader with smaller win rate but much larger average winners can still have a better system than a trader who wins often but cuts winners too early.

The repeatable process and the journal

A trading edge becomes real only when it is repeated often enough to measure. The journal is what turns scattered experience into a playbook. Without screenshots, setup tags, and execution notes, it is too easy to remember the emotion of a trade and forget the actual process.

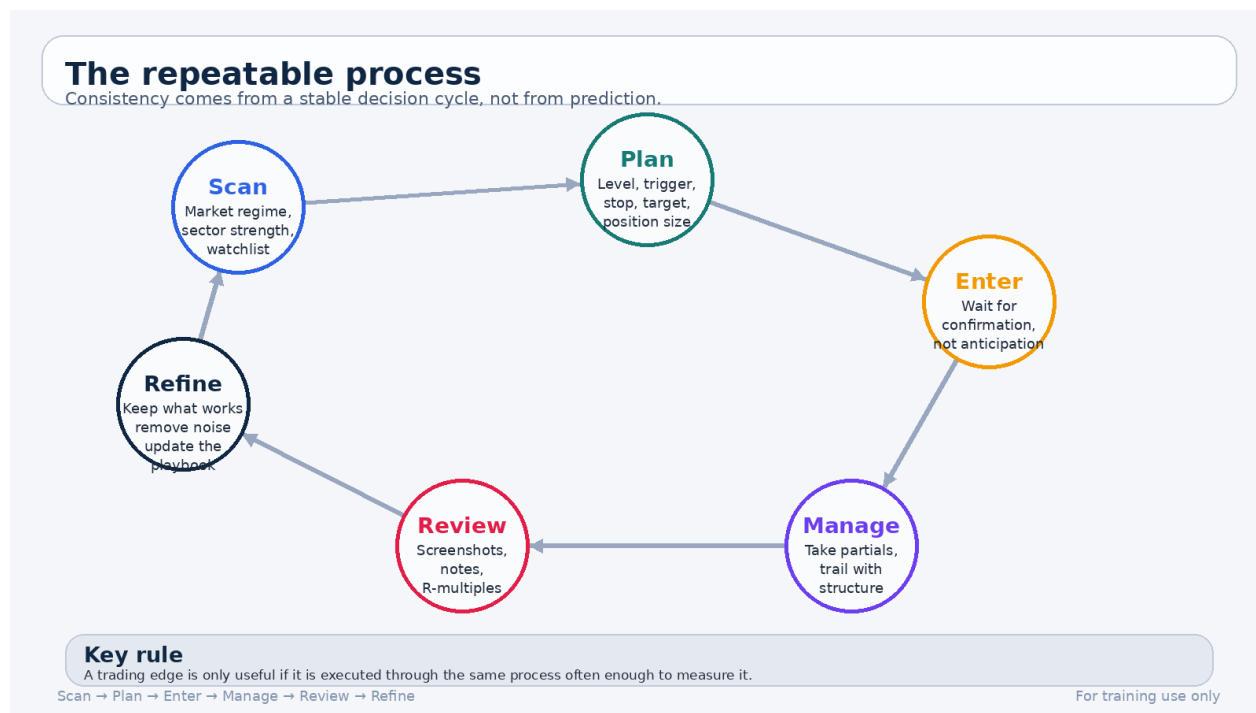


Figure 11. Consistency usually comes from repeating the same decision cycle.

Journal every trade	Review every week
• Ticker, setup, regime, and catalyst • Entry, stop, target, size, and account-risk % • Before / during / after screenshots • Execution grade and exit grade • What was done well and what broke process	• Win rate by setup and by regime • Average winner / loser and expectancy • Hold time, add quality, and slippage • Best and worst mistakes repeated • Whether size changes are justified

Minimum review question

Was this an A-grade idea traded with a B-grade execution, or a B-grade idea that should never have been taken at all?

30 / 60 / 90-day development roadmap

Progress usually comes from narrowing focus before expanding it. The first milestone is not bigger size. It is cleaner execution and a journal that proves what is actually working.



Figure 12. Complexity should lag behind consistency.

- First 30 days: one setup, liquid names, tiny size, and a library of annotated examples.
- Days 31–60: refine entries and exits, begin using partials and trailing, and start measuring expectancy.
- Days 61–90: compare results by market regime, add short-side work only after risk control is proven, and scale slowly.

Reasonable milestones before scaling

At least 20–30 well-documented examples in the journal

Process errors are becoming less frequent

Expectancy is positive for the setup you want to scale

You can explain exactly when not to trade the setup

Common mistakes that keep swing traders stuck

Most beginner and intermediate mistakes are not mysterious. They are usually the same small process failures repeated with too much size. The faster you can recognize these patterns, the faster your results tend to improve.

Mistake	Better behavior
Chasing extension	Wait for a clean level, retest, or controlled pullback instead of buying or shorting the emotional part of the move.
Trading mid-range noise	Force yourself to trade only when price is reacting at a level that matters.
Ignoring market regime	Tag every trade by regime and notice which setups stop working in chop.
Sizing up too early	Keep risk boring until the journal proves you deserve larger size.
Widening stops after entry	Accept invalidation quickly. A wider stop after the fact usually hides a planning error.
Micromanaging higher-timeframe ideas	Manage the position on the timeframe that created the thesis.
Taking too many correlated names	Treat a group of similar positions as one bet and reduce total heat.
Studying indicators more than structure	Anchor your decisions in price, volume, location, and liquidity.

Fast diagnostic

If your biggest losers come from low-quality setups, the problem is selection.

If your winners are smaller than planned, the problem is management.

If both good and bad ideas hurt because the size is too large, the problem is risk.

Operational realities: rules, settlement, and margin

Swing trading is not only about patterns and psychology. It also lives inside account rules, settlement mechanics, and broker risk controls. The notes below are U.S.-oriented examples and should always be confirmed with your broker because house rules can be stricter than the baseline regulatory standard.

Topic	Current note	Practical implication
Pattern day trader (PDT)	In U.S. margin accounts, a trader is generally designated PDT if they execute four or more day trades within five business days and those trades are more than 6% of total trades. The longstanding \$25,000 minimum equity requirement still applies today.	If you are mainly swing trading this may matter less, but repeated same-day entries and exits can trigger it quickly.
Settlement (T+1)	Most U.S. securities transactions now settle one business day after trade date instead of two.	Cash and operational timing matter more. Know when funds, paperwork, or transfers must arrive.
Margin accounts	Margin can amplify losses, create forced-liquidation risk, and allow the broker to impose stricter house rules than the minimum standard.	Never assume you control the liquidation sequence or that you will receive advance notice.
Short selling	Shorts can face squeezes, borrow changes, and theoretically unlimited losses.	Treat short-side work as advanced and smaller until it is proven in your journal.

Important update note

FINRA filed a proposal in 2026 that would replace the current PDT framework, but that proposal is not the current rule. Until a change is approved and effective, traders should plan around the existing standards.

Glossary and selected references

The terms below appear repeatedly in swing-trading discussions. Keep the definitions simple enough that they help you make a decision in real time.

Term	Meaning
ATR	Average True Range; a volatility measure often used for stop placement and target planning.
RVOL	Relative volume; compares current trading activity with a typical baseline to show whether a move is 'in play.'
VWAP	Volume-weighted average price for the current session; a useful intraday reference for price acceptance.
Anchored VWAP	VWAP restarted from a chosen event or signal day rather than from the current session open.
Higher low / lower high	Basic structure clues used for trailing stops and judging whether a trend is strengthening or failing.
R-multiple	Profit or loss expressed as a multiple of the initial risk. Example: +2R means the gain was twice the planned risk.
Account heat	The total open risk across all positions, especially important when multiple ideas are correlated.

Selected reference material

The following sources shaped the educational framework in this guide. Trading rules and broker operational details can change, so always confirm the latest version directly.

- FINRA investor education on day trading and pattern day trader requirements
- FINRA Margin Disclosure Statement
- Investor.gov bulletin on the T+1 settlement cycle
- Charles Schwab educational material on swing trading basics
- Charles Schwab educational material on VWAP and volume-weighted indicators
- SMB Training educational material on multi-timeframe swing-trading workflow and core setups

Final takeaway

Begin by getting one setup, one market regime, and one risk process under control. Add speed, size, and complexity only after the journal proves they belong.